1.

CASE #	CASE NAME	HEARING NAME
CVRI2205254	SILL vs LENDING BEE, INC	MOTION TO EXPUNGE LIS PENDENS

Tentative Ruling:

Motion granted. No opposition filed.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2505391	SALCEDO vs SANCHEZ	MOTION FOR CHANGE OF VENUE

Tentative Ruling:

Motion granted. No opposition filed.

3.

CASE #	CASE NAME	HEARING NAME
CVRI2505490	GARCIA vs VOLKSWAGEN GROUP OF AMERICA, INC., A NEW JERSEY CORPORATION	MOTION FOR JUDGMENT ON THE PLEADINGS

Tentative Ruling:

Summary of Ruling: The Court denies the motion.

<u>Factual / Procedural Context</u>

On September 18, 2025, Plaintiff filed a Complaint against Defendants Volkswagen Group of America, inc., a New Jersey Corporation ("VWGoA") and Ontario VW. Plaintiff's Complaint alleges (1) Violation of the Song-Beverly Act— Breach of Express Warranty (against VWGoA), Violation of the Song-Beverly Act—Breach of Implied Warranty (against VWGoA), and (3) Negligent Repair (against Ontario VW) in connection with a 2023 Volkswagen Atlas, VIN: 1V2JE2CA5PC201826 ("Subject Vehicle").

Ontario VW has now filed a motion for judgment on the pleadings[1] to Plaintiff's third cause of action on the grounds that Plaintiff's claims are barred by the economic

[1] The Opposition incorrectly refers to this motion as a demurrer.

loss rule and that Plaintiff's Complaint fails to state sufficient facts to constitute a claim against Ontario VW.

In Opposition, Plaintiff contends that a negligent repair claim is sufficiently alleged under CC §§ 1714(a) and 1796.5. Plaintiff also contends that the economic loss rule does not bar a claim for negligence not alleged against the manufacturer or retailer of a product and where no contract was formed between the parties. Alternatively, Plaintiff seeks leave to amend.

In Reply, Defendant Ontario VW contends that Plaintiff's reliance on CC §§ 1714(a) and 1796.5 do not save her negligence claim. Ontario VW also repeats its moving argument that the economic loss rule bars the negligence cause of action.

Analysis

I. Meet and Confer

Defendant Ontario VW has met the statutory obligation to meet and confer pursuant to CCP § 439. (See Declaration of Everett L. Green, ¶4.)

II. Standard

A defendant may move for judgment on the pleadings if the complaint does not state facts sufficient to constitute a cause of action. (CCP § 438(c)(1)(b)(ii).) "A motion for judgment on the pleadings performs the same function as a general demurrer, and hence attacks only defects disclosed on the face of the pleading or by matters that can be judicially noticed." (*Cloud v. Northrop Gruman Corp.* (1998) 67 Cal.App.4th 995, 999.) All facts alleged in are deemed admitted and given a reasonable interpretation. (*Lance Camper Manufacturing Corp. v. Republic Indemnity Co.* (1996) 44 Cal. App. 4th 194, 198.) "No matter how unlikely or improbable, a plaintiff's allegations must be accepted as true for the purpose of ruling on the demurrer. (*Kerivan v. Title Insurance Co.* (1983) 147 Cal. App. 2d 225, 229.) Extrinsic evidence may not be considered. (*Lane v. I.U.O.E. Stationary Engineers* (1989) 212 Cal. App. 3d 164.)

III. Merits

A. Economic Loss Rule

The Economic Loss Rule provides that, generally, plaintiff cannot recover in tort for negligently inflicted harm that is a purely economic loss, i.e., financial harm unaccompanied by physical or property damage. Thus, "tort recovery for breach of a contract duty is generally barred . . . unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed. A review of the cases in which the doctrine has evolved provides context."

(*Rattigan, supra,* 17 Cal.5th at pp. 20–21; see *Jimenez v. Superior Court* (2002) 29 Cal.4th 473, 482, quoting *Seely v. White Motor Co.* (1965) 63 Cal.2d 9, 19.)

In moving papers, Defendant Ontario VW cites *Food Safety Net v. Eco Safe Systems USA, Inc.* (2012) 209 Cal.App.4th 1118, 1130 and *Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988* to address whether the economic loss rule bars claims for <u>fraud</u> during the performance of a contract. However, in the present matter, Plaintiff has not alleged either fraud or the existence of a contract between themselves and Ontario VW. Civil Code § 1796.5 provides that "[a]ny individual, partnership, corporation, association, or other legal relationship which engages in the business of providing service or repair to new or used consumer goods has a duty to the purchaser to perform those services in a good and workmanlike manner," meaning that no contract need be formed for Ontario VW to owe Plaintiff a duty not to perform repair services in a negligent manner. And, in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, the Supreme Court exhaustively surveyed California law regarding when the economic loss rule does and does not prohibit recovery, and it provided no examples of when the economic loss rule bars a pure negligence claim in the absence of a contractual relationship.

In moving papers, Ontario VW cites *Sacramento Regional Transit Dist. v. Grumman Flxible* (1984) 158 Cal.App.3d 289 which is inapposite as it involved a negligence action by a merchant under the Commercial Code 2104(1) against a manufacturer of an allegedly defective product purchased by the merchant. (Id., 291.) In the present matter, Plaintiff is not a merchant under the Commercial Code and Ontario VW is not the manufacturer of the subject vehicle. Accordingly, *Sacramento Regional* does not apply.

Ontario VW also relied on *Seely v. White Motor Co.* (1965) 63 Cal.2d 9, a case which pre-dates the Song-Beverly Act. In the *Seely* case, Plaintiff purchased a truck manufactured and warranted by White which had a number of problems that the selling dealer (Southern Truck Sales) tried unsuccessfully to repair. After the vehicle was in an accident, Plaintiff Seely sued both the manufacturer White and the dealer Southern Truck Sales for breach of warranty issued by manufacturer White. During trial, Plaintiff Seely dismissed dealer Southern Truck Sales. The Supreme Court's decision does not address the relationship between plaintiff Seely and dealer Southern at all—not whether there was a contract between them, not whether dealer Southern performed repairs negligently and not whether dealer Southern was liable to plaintiff Seely in any way.

Ontario VW also cites *Harlan v. Roadtrek Motorhomes, Inc.* (S.D. Cal. 2009) 2009 WL 928309, a non-precedential federal case applying Federal Rule of Civil Procedure 56 and not the California Code of Civil Procedure in which the plaintiff brought ten causes of action against an RV manufacturer and an RV dealer. One of the plaintiff's causes of action was a negligence claim against both defendants "with regard to the design, manufacture, inspection, sale and repair of the subject vehicle." (Id. at *18). The court granted the defendants' motion for summary judgment on the negligence claims on the grounds that the defendants had proven the plaintiff suffered no damages. (Id.). However, the fact that these defendants had proven the plaintiff had suffered no damages is irrelevant to what must be alleged to survive a demurrer. By contrast, in *Garcia v. Ford Motor Company* (E.D. Cal. January 28, 2025) 2025 WL 314072 at *2, *Bailey v. Ford Motor Company* (E.D. Cal November 13, 2024) 2024 WL 4733209 at *7, *Viveros v. Ford Motor Company* (S.D. Cal. July 28, 2021) 2021 WL 5989365 at *6-7 and a host of other cases citing or cited within these opinions federal courts all found a plaintiff's negligent repair claim to be facially valid at the pleading stage when Song Beverly Act claims had also been alleged

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B. Failure to State Facts

To plead a claim for negligence, a plaintiff must allege the following elements: The existence of a duty of care, breach of that duty, and an injury proximately caused by the breach. (*Ladd v. County of San Mateo* (1996) 12 Cal.4th 913, 917.) A claim for negligent repair requires pleading of the elements of negligence, that is, "duty, breach, causation, and damages." (*Lytle v. Ford Motor Company* (E.D. Cal. 2018) 2018 WL 4793800, *2, citing *Burgess v. Superior Court* (1992) 2 Cal.4th 1064, 1072; Valdez v. J.D. Diffenbaugh Co. (1975) 51 Cal.App.3d 494, 508.)

Plaintiff has alleged the above elements. Ontario VW contends that Plaintiff must allege a specific dollar amount of damages to survive this motion. However, the cases cited by Ontario VW address what must be alleged to obtain a <u>default judgment</u>. (See *Van Sickel v. Gilbert* (2011) 196 Cal.App.4th 1495, 1520 and *Becker v. S.P.V. Construction Co.* (1980) 27 Cal.3d 489, 494.) This is not the case here, given that Ontario VW has filed a responsive pleading and it not in default. Ain addition, no authority is cited that a specific dollar amount must be alleged to survive a motion to judgment on the pleadings.

Further, Plaintiff explains that damages from Ontario VW's negligent performance of repair service on the subject vehicle include potential exposure to liability for damages to others. In *Robinson Helicopter Co., Inc. v. Dana Corp* (2004) 34 Cal.4th 979, there was no evidence introduced at trial that the nonconforming clutches sold to the plaintiff had actually caused or would likely cause helicopters containing these clutches to be involved in future crashes. Rather, the possibility that such helicopter crashes could have occurred as a result of these nonconforming clutches, and that such crashes could have potentially exposed the plaintiff to monetary damages in lawsuits from injured persons or to fines was deemed sufficient for the plaintiff to obtain tort damages. (Id. at 991). Again, Plaintiff need not plead a specific dollar amount of such damages.

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